Compact Guide to Getting Credit and Acquiring a Business in 90 Days

A lamboapp.com field guide.

Introduction

Came out of a lower-middle-market private equity firm and pretty quickly realized I cared more about owning the cash flow than helping other people own it. Over the last couple years, I've helped structure more than eleven acquisitions - SBA 7(a), seller notes, ROBS rollovers, equipment paper - and closed on a couple of my own.

Currently, the credit environment is jumpy, brokers are gatekeeping deal flow, and the "buy a boring business" playbook has gotten crowded enough that everybody thinks they're doing it and almost nobody actually closes. I mention this because I've done this long enough to have a pretty clear idea of what has actually worked for me and what has been a waste of time.

Getting the loan is only part of it. You need to prep the credit stack that fits your existing situation, pre-qualify efficiently, keep your financing kits scoped and in their own lanes, negotiate lender terms well, and eventually decide whether the deal in front of you is actually worth pulling the trigger on.

This is the process I use.

Preparing Your Situation

Before applying for anything, figure out whether your current situation can realistically support a business acquisition.

Start with your current cash position. How many months of personal runway do you have if the acquired business misses its year-one projections? How much of your net worth is liquid versus locked in a 401(k) or home equity? Are you in a stable enough job to write a personal guarantee against a $500K-$2M loan? Can you sit through a 90-day due-diligence process without touching the down-payment cash for anything else?

For me, credit posture and cash predictability matter more than the score number itself. A 720 FICO with a maxed-out HELOC and three recent credit inquiries is much harder to underwrite than a 690 with clean utilization and two open unsecured tradelines you haven't touched in a year.

You also need to think about everything outside the deal. An acquisition can affect your marriage, your primary job's mental bandwidth, your kids, your sleep, and basically anything else competing for your time and money. I think it helps to know what you're willing to trade before you sign a single lender application.

Finally, read the agreements and policies connected to your current job and personal debt. Pay attention to outside-business clauses, non-competes, moonlighting restrictions, existing personal-guarantee obligations, and any spousal-consent requirements on the state you'll close in. Don't assume somebody else's situation applies to yours.

Obviously keep the acquisition entity completely separate from your personal finances. Don't co-mingle bank accounts. Don't run personal cards through the business. Don't sign anything with a personal SSN when an EIN would do. There's no upside to being careless there.

Managing Your Credit Kits

I used to manage credit like most people do - one FICO score, one bank relationship, one HELOC I'd tapped for a kitchen renovation, and a general sense that "my credit is fine." One profile for everything, and eventually I'd just walk into whatever SBA lender my accountant recommended.

For acquisition, I found that while not necessarily a problem, there was a significant decrease in the flexibility I had at the underwriting table. And further, it was annoying because these lenders wanted a very specific personal financial statement - assets, liabilities, contingent obligations - and my one-account-does-everything setup made it look either boring or messy depending on the reviewer. Felt a bit impossible to present as a serious acquirer when my credit story told a different one. This along with the same generic PFS was silently throttling my approval odds. In this market, something had to change.

Tried a lot of different approaches and eventually landed on a stacked-kit setup. There might be cleaner versions of this by the time you're reading, but it solved my biggest issue: from the same credit foundation I could present different financing profiles for different types of deals. I might have one focused heavily on SBA-eligible personal collateral, another aimed at seller-financed deals where DTI matters more, and another for revenue-based financing where trailing 12 months of business receipts drive the whole conversation. Each profile has its own paper trail - bank statements, tradeline history, business credit reports - so I'd hand the version that made sense for that particular deal.

The core stack I keep warm at all times:

- **Personal FICO >= 700** with utilization under 20% across all revolvers
- **Two unsecured personal cards** with $25K+ limits, never carrying a balance
- **HELOC pre-approved** but untapped - dry powder for the earnest-money check
- **401(k) rolled or rollable** to a ROBS-compatible custodian (not every custodian is)
- **DUNS number and D&B PAYDEX** on a Delaware LLC that's been open at least 24 months
- **Two business tradelines** reporting to Experian Business (net-30 with Uline or Grainger is the classic starter)

These more general few are what I mostly deploy, but every now and then if I have more capacity I'd actually build a hyper-specific credit profile for a particular deal - a fresh Delaware LLC with a targeted business bank account, DUNS filed, and a couple of small tradelines seasoned six months before the LOI hits. This is where the approvals really started coming through for me again, but it's also massively important to point that credit at the right deal...

Sourcing Deals with LamboApp

Credit stack is only useful if there's a deal on the other side of it. Deal sourcing used to be the part I hated most - logging into BizBuySell every morning, wading through duplicate listings from three brokers who reposted the same HVAC shop with different photos, and trying to figure out which numbers had been massaged and which hadn't. Most days ended with a browser full of tabs and no shortlist.

This is the exact problem I built LamboApp for. Every day it reads roughly a hundred new business-for-sale listings across thirty-plus broker feeds - BizBuySell, LoopNet, Empire Flippers, Flippa, Website Properties, Sunbelt Network, and a rotating list of regional brokers - and puts them all in one place at **lamboapp.com/deals**. No login required to browse. That was intentional. Gating a search index behind a signup form is what BizBuySell does, and it's the whole reason deal sourcing feels miserable in the first place.

What actually saves the time is what happens after the listing is ingested. Claude reads every listing end to end - the CIM summary, the financials the broker chose to publish, and the seller's own description - and emits three things I actually use:

- A **fit score** against the 3x SDE archetype. A 92 tells me the deal is worth 15 minutes of my reading. A 34 tells me the broker is fishing.
- A **1-paragraph thesis** in plain English. "Owner-operated HVAC in a growing metro, 45% commercial mix, replacement-heavy revenue, key tech is the owner's son who's staying." That paragraph tells me more than the CIM's first ten pages.
- A **red-flag list**. Customer concentration, aging equipment, related-party lease, revenue trending down two years in a row, seller carry unrealistic - whatever the actual dealbreakers are for that specific listing.

The way I actually use it is boring: I open **lamboapp.com/deals** in the morning with coffee, sort by fit score descending, filter to the industries and geographies my buy-box cares about, and read the thesis on anything above a 70. Most days I find one or two worth digging into. The ones I want to track get saved. The rest disappear from my inbox forever.

You can also filter on the things that actually matter for an SBA-financeable deal - asking price bracket, SDE range, industry NAICS, geographic radius, revenue floor. The filters are the same ones the underwriter is going to care about, so if a deal survives the filter it usually survives DSCR too.

The site is free to browse and free to filter. Signup is the same email + phone you probably just gave the playbook download for - that's what triggers the SMS alert when a new deal matches your saved filters, so you don't have to open the tab every morning.

I still cross-check the higher-scoring deals against the source broker's own listing page and I still work broker relationships directly for the off-market stuff. But the top-of-funnel scanning problem - the "did anything interesting hit the internet today" question - is the part that used to eat two hours a day. It doesn't anymore.

Selecting Financing Sources

This has changed substantially in the last few years, due to the introduction of poor practices from bulge-bracket franchise brokers like re-listing overpriced deals under new shells, algorithmic scoring at every big SBA lender, and a flood of "boring business" content pushing marginal buyers into every LOI queue. I used to invest some attention into national SBA lenders you've heard of - the ones advertising on airport podcasts - but jeez did those turn into a significant waste of time. These days, I would only focus on 2-3 sources.

Preferred SBA lenders in the $500K-$5M SBA 7(a) range are still where I start, because of the leverage and the ten-year fully-amortizing structure. There are plenty of bad listings, slow underwriters, and lenders I have no interest in, but it's easy to shortlist by industry appetite, filter by SBA delegated authority (PLP), see who's actually closing this quarter, and get through a lot of pre-qualifications quickly. Pick a specialist in your industry vertical and stop pretending the generalist megabank cares about your $1.2M plumbing deal.

For lower-middle-market deals with real EBITDA, I also like seller notes stacked against a smaller SBA piece. There usually isn't as much liquidity, but I find sellers on the fence about closing appreciate a structure that keeps them in the deal for 3-5 years, and the notes often give useful terms upfront about interest rate, subordination, and standby periods. More flexible than SBA for goodwill-heavy businesses, which is good if the deal is priced at 4x SDE and the tangible collateral doesn't cover the ask.

I use ROBS too, particularly for buyers with $150K+ in a rollable 401(k) who want to reduce SBA-required equity injection. I just don't use it as the center of every deal. For most acquisitions, I prefer having the retirement account grow independently so the acquisition and the nest egg don't rise and fall together.

I'm much less patient with revenue-based financing on acquisition deals. If a lender wants to take 6-10% of monthly gross for the next 18 months, I'll usually move on. If the deal is unusually good - high-margin, low-capex, and the RBF is bridging a gap between SBA close and working-capital season - that changes. Great fundamentals, a strong operator, an interesting industry, or a structure that looks particularly compatible with my cash-flow model can justify the extra cost - though very rare.

As everyone in the acquisition community has preached relentlessly, it is in fact a numbers game, but it can still be a smarter one.

Applying Cadence

I like lender-application volume, but I don't give every application the same amount of attention.

For lenders that look decent but aren't anything special, I use whichever existing kit fits best and pre-qualify quickly. If I'm underwriteable and the terms make sense, there's usually no reason for me to spend three weeks assembling a bespoke personal financial statement.

For stronger opportunities, I'll spend more time. I might adjust which entity is the borrower, restructure the source-of-equity narrative, or even have the CPA re-cast the last 24 months of personal returns for cleaner presentation. Because I already maintain different base kits, I'm usually starting pretty close to what I need.

Every full moon there's a deal I genuinely want. Those get the full treatment. I'll research the seller, tailor the LOI properly, sit through the longer conversations with the seller and the lender, and spend more time on the QoE because the opportunity is worth it.

I try to check deal boards consistently rather than doing everything in giant bursts. Mondays and Tuesdays seem to be particularly strong for new broker listings. I'll look through new listings, quickly file NDAs on the straightforward ones, save the stronger opportunities for a proper CIM review, and come back to those when I have time to put more effort into them.

Interviewing

After enough lender calls and seller calls, you start seeing the same basic stages. Usually there's some combination of an initial pre-qualification conversation with a business development officer, a technical or deal-specific underwriter interview, a seller/broker call, and a final closing conversation with counsel.

For an initial screening, I keep preparation pretty simple. I know my personal financial statement, understand the deal I'm looking at, know what leverage and DSCR I'm targeting, and have a few reasonable questions. Most of the time they're trying to confirm that your credit and cash situation match the deal and that it makes sense to continue underwriting.

Underwriter interviews depend heavily on the deal, but I've found that explaining how I'm thinking is usually more useful than trying to sound brilliant. If a covenant is unclear, I ask. If I haven't structured something a particular way before, I'm comfortable saying that instead of trying to fake my way through an answer.

Seller and broker calls matter a lot for acquisition because I'm evaluating the business at the same time. I want to know how the business actually works day to day. I pay attention to owner-dependency, how much revenue is concentrated in the top 3 customers, how the team is compensated, how independently the current operator runs the P&L, and how predictable the workload seems.

I ask questions that help me understand that. What does a normal week look like for the owner? How does the team communicate? How often are the top-3 customers reviewed? How are quotes and estimates handled? What does the seller consider a "good year" versus a "bad year"?

Those answers can tell me more about whether a business fits my situation than most of the actual CIM, which is the whole point.

Final Thoughts

I don't think everybody should be acquiring a business, and I don't necessarily think it should be a permanent way of building wealth. For me, it was an opportunity to compress ten years of

W-2 saving into a single 90-day acquisition process - during a period of my life when I was willing and able to handle the additional risk and workload. An investment. Eventually, owning the cash flow should give you more control over your life, and you can catch up on the more down-to-earth things when you can experience them better than anybody else.